

ICAP Strategic Case Study - Predicted Paper # 1

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Time allowed: 4 hours 30 minutes | Total marks: 100

This paper should be read together with the pre-seen information for KMCH. All monetary amounts are in Rs. million unless stated otherwise. Candidates should apply professional judgement and avoid reproducing generic theory.

Scenario

It is 15 September 2026. You are working in the finance and business development team of KMCH. The Board is meeting next week to decide how to deal with two older Karachi depots that have weak utilisation and customer ratings. The Board is also considering replacement of older vehicles, lease versus buy options for replacement fleet, a virtual depot model, process redesign and related taxation matters.

The Chief Executive Officer has asked you to prepare analysis and advice for the Board using the information in the appendices below. The Board wants practical recommendations and expects both quantitative and qualitative evaluation.

Requirements

Req.	Task	Marks
1(a)	Analyse the performance of the Korangi and Saddar depots using the financial and non-financial data in Appendix 1. Compare the two depots with the KMCH network average and identify the key issues requiring Board attention.	8
1(b)	Evaluate whether KMCH should turn around, relocate or close the two underperforming depots. Your answer should consider strategic, operational, customer and employee implications.	8
1(c)	Assess the business process redesign required for booking, handover, maintenance reporting and depot performance monitoring.	8
1(d)	Recommend service quality controls and benchmarking measures for depots and virtual operations.	8
2(a)	Prepare an asset replacement analysis for the 40 older vehicles currently used at Korangi and Saddar. Based on Appendix 2, advise whether the vehicles should be replaced now or retained for a further three years.	12
2(b)	Evaluate whether 55 replacement vehicles required for the proposed DHA Phase VIII depot should be leased or purchased, using the discounted cost information in Appendix 3.	12
2(c)	Calculate the targeted utilisation rate and the targeted average daily rental rate required for the relocated depot to achieve management's target NPV. Comment on whether these targets appear realistic.	10

2(d)	Compare the virtual depot model with the traditional physical depot model from strategic, operational and financial perspectives.	8
3(a)	Discuss the sales tax / input tax implications of purchasing vehicles, spare parts and disposing of old vehicles, based on Appendix 5.	10
3(b)	Prepare an implementation plan for depot restructuring and fleet replacement, including key milestones, responsibilities, risks, controls and Board reporting.	16

Total: 100 marks

Appendix 1 - CFO memorandum: depot performance review

From: Finance Director

To: Finance and business development team

Subject: Korangi and Saddar depot review

The Board has asked for a focused review of two older Karachi depots. These depots were opened before KMCH introduced the current premium service standards. Both depots operate in high-traffic areas, but their premises are small, the handover bays are congested and customers have complained about vehicle cleanliness, slow handover, and inconsistent availability of replacement vehicles.

The following dashboard has been prepared for the year ended 31 March 2026.

Measure	Korangi depot	Saddar depot	KMCH network average / reference
Active vehicles	38	34	522 total fleet
Rental days	7,880	6,520	Equivalent to 70.2% utilisation
Utilisation	56.8%	52.5%	70.2%
Revenue	92.4 million Rs.	78.6 million Rs.	1,444.9 million Rs. total revenue
Average daily rental rate	Rs. 11,726	Rs. 12,055	Rs. 13,820 (<i>students should assume this value regardless of the value calculated from pre-seen</i>)
Variable cost per rental day	Rs. 6,450	Rs. 6,720	Rs. 5,850 (<i>students should assume this value regardless of the value calculated from pre-seen</i>)
Fixed depot operating cost	32.5 million Rs.	30.7 million Rs.	24.3 million Rs. average per depot (<i>students should assume this value regardless of the value calculated from pre-seen</i>)
Customer satisfaction score	4.05 / 5.00	4.10 / 5.00	4.70 / 5.00
Complaints per 1,000 rentals	17.0	15.4	6.1
Average handover time	28 minutes	31 minutes	16 minutes
Unplanned downtime	13.8% of available days	14.5% of available days	8.0% of available days

Average vehicle age	4.2 years	4.5 years	2.5 years
Employee turnover	18%	20%	11.2%

The finance team has calculated that Korangi generated a depot contribution after variable cost of Rs. 41.6 million and operating profit after fixed depot costs of Rs. 9.1 million. Saddar generated a depot contribution after variable cost of Rs. 34.8 million and operating profit after fixed depot costs of Rs. 4.1 million.

The Customer Experience Manager believes that the depots are profitable only because they use older vehicles with low book values. She argues that the low customer scores are damaging KMCH's premium positioning and may affect corporate clients who use the depots for staff and guest transport.

Appendix 2 - Fleet manager note: older vehicle replacement decision

The 40 oldest sedans used by Korangi and Saddar are now creating reliability and service-quality issues. The Fleet Manager has proposed replacing these 40 vehicles with new hybrid sedans. The proposed analysis covers three years. Ignore taxation in requirement 2(a).

Assumption	Retain existing fleet	Replace with hybrid sedans
Number of vehicles	40 vehicles	40 vehicles
Purchase price of replacement vehicle	N/A	Rs. 5.60 million per vehicle
Immediate sale proceeds of existing vehicle	N/A	Rs. 2.10 million per vehicle if replaced now
Residual value after three years	Rs. 0.75 million per existing vehicle	Rs. 3.20 million per new vehicle
Maintenance cost - year 1	Rs. 0.55 million per vehicle	Rs. 0.24 million per vehicle
Maintenance cost - year 2	Rs. 0.65 million per vehicle	Rs. 0.28 million per vehicle
Maintenance cost - year 3	Rs. 0.78 million per vehicle	Rs. 0.33 million per vehicle
Fuel / efficiency saving from new vehicle	N/A	Rs. 0.20 million per vehicle per year
Expected unplanned downtime	20 days per vehicle per year	8 days per vehicle per year
Contribution lost per downtime day	Rs. 5,500	Rs. 5,500
Discount rate for fleet decisions	13%	13%

The Fleet Manager notes that replacing the vehicles may also improve customer ratings and handover reliability, but these benefits are difficult to quantify at this stage.

Appendix 3 - Procurement note: lease versus buy for DHA Phase VIII depot

Management is considering relocating the weaker of the two depots to DHA Phase VIII. The relocated depot would need 55 compact sedans. The procurement team has obtained the following quotations. Ignore taxation in requirement 2(b).

Assumption	Purchase option	Lease option
Number of vehicles required	55	55
Purchase price	Rs. 4.90 million per vehicle, payable immediately	N/A
Residual value after four years	Rs. 2.40 million per vehicle	N/A
Maintenance and insurance cost	Rs. 0.42 million per vehicle per year	Included in lease rental
Lease rental	N/A	Rs. 1.48 million per vehicle per year, payable in arrears
Residual value risk	KMCH bears residual value risk	Lessor bears residual value risk
Replacement flexibility	Low - KMCH owns vehicles	Medium - replacement allowed at renewal with revised rental
Discount rate for comparison	12%	12%
Evaluation period	4 years	4 years

Appendix 4 - Business development proposal: relocated physical depot and virtual depot model

The Business Development Head has suggested that the Board should not simply replace the existing depots. Two possibilities are being discussed.

Option A - Relocated physical depot in DHA Phase VIII

Assumption	Amount / detail
Initial depot setup, fit-out and systems cost	Rs. 130.0 million
Initial marketing launch cost	Rs. 20.0 million
Working capital required immediately	Rs. 20.0 million, recoverable at the end of year 4
Annual fixed depot cost	Rs. 62.0 million
Expected variable cost per rental day	Rs. 6,500
Fleet size	55 vehicles
Evaluation period	4 years
Discount rate	12%
Management target NPV	Rs. 40.0 million
Expected customer segment	Premium residents, corporate guest transport, airport transfer and family rentals

Management wants to know:

- the utilisation rate required if the average daily rental rate is Rs. 14,000; and
- the average daily rental rate required if utilisation is 70.2%, which is the current KMCH network utilisation.

Option B - Virtual depot model

Under this model, vehicles would be parked in controlled third-party parking facilities and delivered to customers by mobile handover teams. There would be no walk-in counter. Bookings, licence verification, payments, damage photographs and handover documents would be processed through the KMCH app. Management expects lower fixed cost but higher delivery and coordination costs. The model depends heavily on the upgraded booking platform and reliable telematics.

Appendix 5 - Extract from Board discussion on tax treatment of depot restructuring and vehicle replacement

At the Board meeting held on 8 May 2026, the directors discussed the proposed restructuring of the two underperforming Karachi depots and the planned replacement of older vehicles currently allocated to those depots.

The Finance Director (FD) informed the Board that the financial evaluation of the proposal should not be based only on purchase prices, lease rentals and operating cost savings. FD noted that the tax and indirect tax consequences could affect the final decision, particularly because the proposal involves a combination of vehicle purchases, vehicle disposals, spare parts, repairs, lease termination payments and possible relocation costs.

FD explained that KMCH has historically incurred significant sales tax on the purchase of vehicles, spare parts, tyres, maintenance services and certain outsourced repair services. FD cautioned that input tax claimability is not automatic under tax law. The CEO asked whether KMCH would be able to claim all input tax on the proposed replacement vehicles. FD responded that this would need to be reviewed carefully.

The Operations Director added that the older vehicles may be sold to local dealers or disposed of through auction. FD noted that the disposal of vehicles may itself have sales tax and income tax implications.

The Board also discussed the possible relocation of one depot into a smaller facility and the potential exit from an existing lease. FD advised that lease termination payments, fit-out costs for a new depot, and input tax on relocation-related expenses should be reviewed before final approval.

The Chair asked whether these issues could materially change the recommendation. FD replied that the tax impact may not change the strategic need to improve depot performance, but it could affect the ranking of the available options.

The Board requested the finance team to update the financial evaluation by:

- identifying which input tax amounts are likely to be claimable;
- identifying any restricted or apportioned input tax;
- separately showing the tax effect of vehicle disposal proceeds;
- confirming the tax treatment of lease termination payments and relocation costs; and
- obtaining tax advice before the final restructuring proposal is approved.

The Chair concluded that the Board should not approve the depot restructuring purely on the basis of operating cost savings until the tax and documentation issues have been reflected in the final financial model.